start of 2010 to almost 8 per cent by the end of the next year. It is against this backdrop that our anti-inflationary stance in 2010 and 2011 needs to be evaluated.

Data Deficiencies and Monetary Policy

This may be an appropriate point to comment on how the Reserve Bank's monetary policy calibration goes astray because of data deficiencies. As I said before, the Reserve Bank operates within the universe of knowledge available in real time, and that universe is largely shaped by data. If the data are reliable and available in good time, policy response can be accurate and confident. But the Reserve Bank is oftentimes wrong-footed because of the questionable quality of data.

For example, our data on employment and wages, crucial to judging the health and dynamism of the economy, do not inspire confidence. Data on the index of industrial production (IIP), which gives an indication of the momentum of the industrial sector, are so volatile that no meaningful or reliable inference can be drawn. Data on the services sector activity, which has a share as high as 60 per cent in the GDP, are scanty.

The poor quality of data is compounded by frequent and significant revisions, especially in data relating to output and inflation which are at the heart of monetary policy. As governor Y.V. Reddy put it with his characteristic wit, everywhere around the world, the future is uncertain; in India, even the past is uncertain. It is this data uncertainty under which the Reserve Bank has to make policy; it does not have the luxury of waiting until the past becomes crystal clear.

I have already written about how our baby-step approach to fighting inflation was in part informed by data which were telling us that recovery was still fragile. In the event, subsequent revisions to output data showed that growth in 2009–10 was, in fact, more than a full percentage point higher than the original number. It is a fair conjecture that the tightening cycle to rein in inflation would have been steeper had we known that output growth was significantly better than we knew in real time. Another instance